Asian Paints — What 10 Years of Data Tells Us

Quick Takeaways

1. Asian Paints consistently generated strong profitability, with ROE reaching 29.7% in FY 2024, among the highest in its sector.
2. Revenue grew consistently over the decade, though profit growth was not always as smooth, recovering to a 15.7% net margin by FY 2024.
3. Investing activity grew sharply, from rs 465 crore in FY 2015 to rs 2,548 crore in FY 2024, funded by a manageable rise in borrowings.
4. Asian Paints held a clear competitive edge over Berger Paints and Kansai Nerolac on ROE, margins, and debtor days.
5. The open question: can these returns hold as the company keeps expanding into new categories and geographies?

Business Overview

6. Asian Paints is India's largest paints company by market share. The company has 27 paint manufacturing facilities in 15 countries, servicing consumers in over 60 countries.
7. The company sells decorative paints, industrial coatings, waterproofing, adhesives, home décor.
8. Asian Paints is the **largest** home decor company in India. Their main customers are homeowners, contractors, commercial and industrial owners.
9. The following points makes it different from its competitors: strongbrand, wide distribution network, innovation, premium margins and diversification.

Three Key Financial Trends

1. Revenue continues to grow but profitability faced temporary issue

The first trend that stands out is the company’s consistent revenue growth over the decade. Asian Paints expanded its sales significantly between FY 2015 and FY 2024 , indicating steady demand and successful market expansion. However, revenue growth did not translate into higher profits every year.

By FY 2024, profitability had recovered with a net profit margin reaching approximately 15.7%. This indicates that the company was able to improve pricing, manage costs more effectively and restore earnings after the temporary margins.

2. Returns remained consistently strong despite business expansion

Another important trend is the company’s ability to maintain high returns while continuing to invest and grow. In FY 2024, Return on Equity (ROE) was approximately 29.7%, Return on Assets (ROA) reached 18.6%, and Return on Capital (ROCE) was 31.8%.

These are strong numbers for a mature business. High ROE indicates shareholder capital is being used to efficiently maintain to generate profits, while ROCE shows that the company’s operating costs continue to produce healthy returns.

Maintaining returns close to these levels over a long period is particularly important because expanding businesses often experience declining efficiency as they invest in additional capacity. Asian Paints has largely avoided that problem, suggesting disciplined capital allocation and strong operating performance.

3. Investment activity increased significantly over the decade

   The cash flow statement reveals another important trends. Cash used investing activities increased from approximately rs 465 crore in FY 2015 to around rs 2548 crore in FY 2024. At the same time borrowings increased from roughly rs 418 crore to roughly rs 2474 crore.
   On its own, rising borrowings might appear concerning. However, when viewed alongside expanding investment activity and continued profitability, it appears that the company has been financing long-term growth rather than covering operating losses. Importantly, profitability and returns remained strong despite these higher investments, suggesting that management has continued to generate value while expanding its business.

Competitive Position vs Peers

The competitors of Asian Paints are Nerolac Paints and Berger Paints. When compared with Berger Paints and Nerolac Paints, Asian Paints continues to demonstrate stronger financial performance across several important measures. Based on the financial model, Asian Paints reported an ROE of approximately 29.7% compared with roughly 17.8% for Berger Paints and 8.8% for Kansai Nerolac in FY 2024. This gap indicates that Asian Paints generates significantly higher returns from shareholder's capital.

The company maintains high profitability while continuing to invest in growth. Higher returns , combined with its extensive distribution network, established brand, and consistent financial performance, help explain why investors often value Asian Paints at a premium level with respect to its competitors, Berger Paints and Kansai Nerolac Paints. Although competitors remain important players in the industry, Asian Paints continues to set the benchmark for operational efficiency and financial performance. Asian Paints maintained a debtor days of 39 days compared to its competitor's, Berger Paints of 45 days and Kansai Nerolac's 57 days.

Open Question

One question that remains unanswered for me is whether Asian Paints can continue earning returns close to 30% as it keeps expanding into new businesses and increases capital investment. The company has invested heavily over the decade and this investment will need to generate attractive long-term returns.

Overall, the ten year financial data suggests that Asian Paints remain a financially strong company with disciplined management, consistent profitability and a long-term approach to growth. While short term challenges such as raw material inflation affected profits at certain points , the company's ability to recover margins, maintain high returns and continue gives confidence in the strength of its business models.